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Chapter Preview

As indicated in the Feature Story, a reliable information system is a necessity for any company. The purpose of this chapter is to explain and illustrate the features of an accounting information system.

Feature Story

Accidents Happen

How organized are you financially? Take a short quiz. Answer yes or no to each question:

- Does your wallet contain so many cash machine receipts that you've been declared a walking fire hazard?
- Do you wait until your debit card is denied before checking the status of your funds?
- Do you verify the accuracy of your bank account about as often as you clean the space behind your refrigerator?

If you think it is hard to keep track of the many transactions that make up your life, imagine how difficult it is for a big corporation to do so.

Now consider how important it is for a big company to have good accounting records, especially if it has control of your life savings. **MF Global Holdings Ltd** was such a company. As a large investment broker, it held billions of dollars of investments for clients. If you had your life savings invested at MF Global, you might be slightly displeased if you heard this from one of its representatives: "You know, I kind of remember an account for someone with a name like yours—now what did we do with that?"

Unfortunately, that is almost exactly what happened to MF Global's clients shortly before it filed for bankruptcy. During the days immediately following the bankruptcy filing, regulators and auditors struggled to piece things together. In the words of one regulator, "Their books are a disaster ... we're trying to figure out what numbers are real numbers." One company that considered buying an interest in MF Global walked away from the deal because it "couldn't get a sense of what was on the balance sheet." That company said the information that should have been instantly available instead took days to produce.

It now appears that MF Global did not properly segregate customer accounts from company accounts. And, because of its sloppy recordkeeping, customers were not protected when the company had financial troubles. Total customer losses were approximately \$1 billion. As you can see, accounting matters!

Source: Based on S. Patterson and A. Lucchetti, "Inside the Hunt for MF Global Cash," *Wall Street Journal Online* (November 21, 2011).

Chapter Outline

LEARNING OBJECTIVES	REVIEW	PRACTICE
LO 1 Discuss financial reporting concepts.	• The standard-setting environment • Qualities of useful information • Assumptions in financial reporting • Principles in financial reporting • Cost constraint	DO IT! Financial Accounting Concepts and Principles
LO 2 Analyze the effect of business transactions on the basic accounting equation.	• Accounting transactions • Analyzing transactions • Summary of transactions • Preparing financial statements	DO IT! Transaction Analysis 2b Financial Statement Preparation
Go to the Review and Practice section at the end of the chapter for a targeted summary and exercises with solutions.		
Additional tutorials and practice opportunities are available in the Wiley online course.		

3.1 Financial Reporting Concepts

LEARNING OBJECTIVE 1

Discuss financial reporting concepts.

You have learned about the four financial statements and some basic ways to interpret those statements. In this section, we discuss concepts that underlie these financial statements. It would be unwise to make business decisions based on financial statements without understanding the implications of these concepts.

The Standard-Setting Environment

How does **Best Buy** decide on the type of financial information to disclose? What format should it use? How should it measure assets, liabilities, revenues, and expenses? Accounting professionals at Best Buy and all other U.S. companies get guidance from a set of accounting standards that have authoritative support, referred to as **generally accepted accounting principles (GAAP)**.

Standard-setting bodies, in consultation with the accounting profession and the business community, determine these accounting standards.

- The **Securities and Exchange Commission (SEC)** is the agency of the U.S. government that oversees U.S. financial markets and accounting standard-setting bodies.
- The **Financial Accounting Standards Board (FASB)** is the primary accounting standard-setting body in the United States.
- The **Public Company Accounting Oversight Board (PCAOB)** determines U.S. auditing standards and reviews the performance of auditing firms.
- The **International Accounting Standards Board (IASB)** issues standards called **International Financial Reporting Standards (IFRS)**, which have been adopted by many countries outside of the United States (see **International Note**). Foreign companies that wish to have their shares traded on U.S. stock exchanges do not have to prepare reports that conform with GAAP, as long as their reports conform with IFRS.

International Note

Over 115 countries use international standards. For example, all countries in the European Union follow IFRS.

Illustration 3.1 shows a global view of the accounting standard-setting bodies and guidance.

ILLUSTRATION 3.1 World view of the standard-setting environment



Environmental, Social, and Governance Insight

Could We Please Get Some Guidance?



Bloomberg/Getty Images

The FASB recently engaged in an “agenda consultation,” in which it requested input from companies, investors, academics, and other FASB stakeholders regarding what accounting issues it should prioritize. Feedback from a high percentage of the more than 500 respondents suggest that the FASB should move quickly to provide standards that provide guidance addressing how to account for sustainability, otherwise known as ESG (environmental, social, and governance) issues.

Sustainability has implications for current and future earnings for many companies. For example, one chief accounting officer stated that “the lack of clear accounting guidance for renewable-energy credits and carbon offsets leads to incomparable financial reporting for investors.” In response, the FASB has begun to conduct research on how to account for ESG-related contracts.

In addition, the chairperson of the Securities and Exchange Commission (SEC) is drafting rules that would require companies to provide disclosures in the notes to their financial statements regarding climate-related risks.

Sources: Based on Mark Mazur, “Companies Want FASB to Focus on Crypto, ESG-Related Rule Making,” *Wall Street Journal* (October 4, 2021); and Mark Mazur, “FASB Targets New Long-Term Agenda, Rules on Expense Disclosures in 2022,” *Wall Street Journal* (January 3, 2022).

Why should accounting regulators write standards to address accounting for sustainability issues?

[Answer](#)

Qualities of Useful Information

The FASB and IASB use a conceptual framework to serve as the basis for future accounting standards. The framework begins by stating that the primary objective of financial reporting is to provide financial information that is **useful** to investors and creditors for making decisions about providing capital. According to the FASB, useful information should possess two fundamental qualities, **relevance** and **faithful representation**, as shown in **Illustration 3.2**.

ILLUSTRATION 3.2 Fundamental qualities of useful information

Relevance Accounting information has **relevance** if it would make a difference in a business decision. Information is considered relevant if it provides information that has **predictive value**, that is, helps provide accurate expectations about the future, and has **confirmatory value**, that is, confirms or corrects prior expectations. **Materiality** is a company-specific aspect of relevance. An item is material when omitting it or misstating it could influence the decision of a financial statement user.

Faithful Representation **Faithful representation** means that information accurately depicts what really existed or happened. To provide a faithful representation, information must be **complete** (nothing important has been omitted), **neutral** (is not biased toward one position or another), and **free from material error**.

In addition to the two fundamental qualities of relevance and faithful representation, the FASB also describes a number of enhancing qualities of useful information. These include **comparability**, **consistency**, **verifiability**, **timeliness**, and **understandability**, as shown in [Illustration 3.3](#).

ILLUSTRATION 3.3 Enhancing qualities of useful information

	Comparability When different companies use the same accounting principles, comparability results.
	Consistency The quality of consistency means that a company uses the same accounting principles and methods from year to year.
	Verifiable Information is verifiable if independent observers, using the same methods, obtain similar results. As noted in Chapter 4, <i>auditors audit companies' (CPA's) financial results of Chapter 4, business plans, accountants (CPA's) prepare annual financial statements to verify their accuracy.</i>
	Timely For accounting information to have relevance, it must be timely . That is, it must be available to decision-makers before it loses its capacity to influence decisions. The SEC requires that large public companies provide their annual reports to investors within 60 days of their year-end.
	Understandability Information has the quality of understandability if it is presented in a clear and concise fashion, so that reasonably informed users of that information can interpret it and comprehend its meaning.

Accounting Across the Organization

What Do These Companies Have in Common?



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Another issue related to comparability is the accounting time period. An accounting period that is one-year long is called a **fiscal year**. But a fiscal year need not match the calendar year. For example, a company could end its fiscal year on April 30 rather than on December 31.

Why do companies choose the particular year-ends that they do? For example, why doesn't every company use December 31 as its accounting year-end? Many companies choose to end their accounting year when inventory or operations are at a low point. This is advantageous because compiling accounting information requires much time and effort by managers, so they would rather do it when they aren't as busy operating the business. Also, inventory is easier and less costly to count when its volume is low.

Some companies whose year-ends differ from December 31 are **Delta Air Lines**, June 30; **The Walt Disney Company**, September 30; and **Dunkin' Donuts, Inc.**, October 31. In the notes to its financial statements, **Best Buy** states that its accounting year-end is the Saturday nearest the end of January.

What problems might Best Buy's year-end create for analysts?

Answer

Assumptions in Financial Reporting

To develop accounting standards, the FASB relies on some key assumptions, as shown in [Illustration 3.4](#) (see [Ethics Note](#)). These include assumptions about the monetary unit, economic entity, periodicity, and going concern.

ETHICS NOTE

The importance of the economic entity assumption is illustrated by scandals involving **Adelphia**. In this case, senior company employees entered into transactions that blurred the line between the employees' financial interests and those of the company. For example, Adelphia guaranteed over \$2 billion of loans to the founding family.

ILLUSTRATION 3.4 Key assumptions in financial reporting

	Monetary Unit Assumption The monetary unit assumption requires that only those things that can be expressed in money are included in the accounting records. This means that certain important information needed by investors, creditors, and managers, such as customer satisfaction, is not reported in the financial statements. This assumption relies on the monetary unit remaining relatively stable in value.
	Economic Entity Assumption The economic entity assumption states that every economic entity can be separately identified and accounted for. In order to assess a company's performance and financial position accurately, it is important to not blur company transactions with personal transactions (especially those of its managers) or transactions of other companies.
	Periodicity Assumption The periodicity assumption (also known as the time period assumption) states that the life of a business can be divided into artificial



Principles in Financial Reporting

Measurement Principles

GAAP generally uses one of two measurement principles, the historical cost principle or the fair value principle. Selection of which principle to follow generally relates to trade-offs between relevance and faithful representation.

Historical Cost Principle

The **historical cost principle** (or cost principle) dictates that companies record assets at their cost. This is true not only at the time the asset is purchased but also over the time the asset is held. For example, if land that was purchased for \$30,000 increases in value to \$40,000, it continues to be reported at \$30,000.

Fair Value Principle

The **fair value principle** indicates that assets and liabilities should be reported at fair value (the price that would be received if an asset was sold or the amount that would be required to be paid to settle a liability). Fair value information may be more useful than historical cost for certain types of assets and liabilities. For example, certain investment securities are reported at fair value because market price information is often readily available for these types of assets.

In choosing between cost and fair value, the FASB uses two qualities that make accounting information useful for decision-making—relevance and faithful representation.

- In determining which measurement principle to use, the FASB weighs the factual nature of cost figures versus the relevance of fair value.
- In general, the FASB indicates that most assets must follow the historical cost principle because market values may not be representationally faithful.
- Only in situations where assets are actively traded, such as investment securities, is the fair value principle applied.

Full Disclosure Principle

The **full disclosure principle** requires that companies disclose sufficient details regarding circumstances and events that would make a difference to financial statement users. If an important item cannot reasonably be reported directly in one of the four types of financial statements, then it should be discussed in notes that accompany the statements.

Cost Constraint

Providing information is costly. In deciding whether companies should be required to provide a certain type of information, accounting standard-setters consider the **cost constraint**. It weighs the cost that companies will incur to provide the information against the benefits that financial statement users will gain from having the information available.



Illustration 3.5 summarizes the objective of financial reporting and the qualitative characteristics of useful financial information.

ILLUSTRATION 3.5 Summary of conceptual framework

Objective of Financial Reporting		
To provide financial information that is useful to existing and potential investors and creditors in making decisions about providing resources to the company.		
Qualitative Characteristics of Useful Financial Information		
Fundamental Qualitative Characteristics		Enhancing Qualitative Characteristics
1. Relevance	2. Faithful representation	1. Comparability
- Predictive value - Confirmatory value - Materiality	- Complete - Neutral - Free from material error	2. Verifiability 3. Timeliness 4. Understandability
Assumptions - Monetary unit - Economic entity - Periodicity - Going concern		Principles - Measurement - Historical cost - Full disclosure
Cost Constraint		

DO IT! 1

Financial Accounting Concepts and Principles

The following items guide the FASB when it creates accounting standards.

- | | |
|----------------------------|---------------------------|
| Relevance | Periodicity assumption |
| Faithful representation | Going concern assumption |
| Comparability | Historical cost principle |
| Consistency | Full disclosure principle |
| Monetary unit assumption | Materiality |
| Economic entity assumption | |

Match each item above with a description below.

- Ability to easily evaluate one company's results relative to another's.
- Belief that a company will continue to operate for the foreseeable future.
- The judgment concerning whether omitting or misstating an item could influence the decision of a financial statement user.
- The reporting of sufficient details regarding circumstances and events that would make a difference to financial statement users.
- The practice of preparing financial statements at regular intervals.
- The quality of information that indicates the information makes a difference in a decision.

7. _____ A belief that items should be reported on the balance sheet at the price that was paid to acquire the item.
8. _____ A company's use of the same accounting principles and methods from year to year.
9. _____ Tracing accounting events to particular companies.
10. _____ The desire to minimize errors and bias in financial statements.
11. _____ Reporting only those things that can be measured in dollars.

ACTION PLAN

- Understand the need for conceptual guidelines in accounting.
- List the characteristics of useful financial information.
- Review the assumptions, principles, and constraint that comprise the guidelines in accounting.

Solution

Related exercise material: BE3.2, BE3.3, BE3.4, DO IT 3.1, E3.1, E3.2, and E3.3

3.2 Using the Accounting Equation to Analyze Transactions

LEARNING OBJECTIVE 2

Analyze the effect of business transactions on the basic accounting equation.

The system of collecting and processing transaction data and communicating financial information to decision-makers is known as the **accounting information system**. Factors that shape an accounting information system include the:

- Nature of the company's business.
- Types of transactions.
- Size of the company's sales or its company.
- Volume of data.
- Information demands of management and others.

Accounting information systems are based on a process referred to as **the accounting cycle**. The accounting cycle begins with the analysis of business transactions and ends with the preparation of a post-closing trial balance.

Most businesses use computerized accounting systems—sometimes referred to as electronic data processing (EDP) systems. These systems handle all the steps involved in the recording process, from initial data entry to preparation of the financial statements.

- Many companies upgraded their accounting information systems in response to the requirements of Sarbanes-Oxley.
- In addition, companies are utilizing new technologies such as cloud-based systems, which enable companies to access records from different locations and data information and analysis tools, which help companies interpret large volumes of data to support enhanced decision-making and automate routing processes.

In order to emphasize the underlying concepts and principles, we focus on a manual accounting system. The accounting concepts and principles do not change whether a system is computerized or manual.

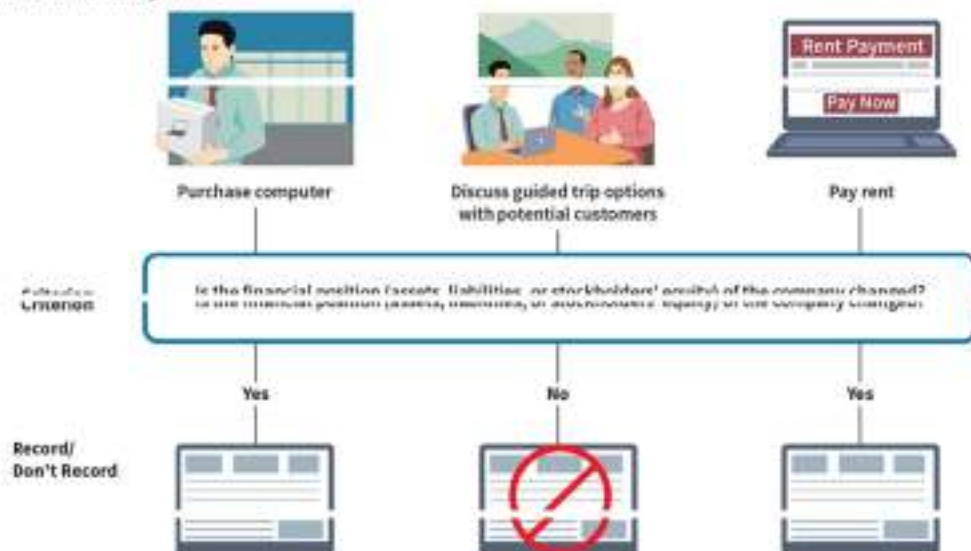
Accounting Transactions

To use an accounting information system, you need to know which economic events to recognize (record). Not all events are recorded and reported in the financial statements. For example, suppose **Zoom Video Communications** hired a new employee and purchased a new computer. Are these two events entered in its accounting records? The first event would not be recorded, but the second event would.

- We call economic events that require recording in the financial statements **accounting transactions**.
- An accounting transaction occurs when assets, liabilities, or stockholders' equity items change as a result of some economic event.
- When Zoom hires a new employee, its assets, liabilities, and stockholders' equity are not affected. But when it purchases a computer, Zoom records the change in the company's assets.

Illustration 3.6 summarizes the decision process companies use to decide whether or not to record economic events.

ILLUSTRATION 3.6 Transaction identification process



Analyzing Transactions

Recall the basic accounting equation:

$$\text{Assets} = \text{Liabilities} + \text{Stockholders' Equity}$$

In this chapter, you will learn how to analyze transactions in terms of their effect on assets, liabilities, and stockholders' equity. **Transaction analysis** is the process of identifying the specific effects of economic events on the accounting equation (see **Decision Tools**).

Decision Tools

The accounting equation is used to determine if an accounting transaction has occurred.

The accounting equation must always balance. Each transaction has a dual (double-sided) effect on the equation. For example, if an individual asset is increased, there must be a corresponding:

- Decrease in another asset, or
- Increase in a specific liability, or
- Increase in stockholders' equity.

Two or more items could be affected when an asset is increased. For example, if a company purchases a computer for \$10,000 by paying \$6,000 in cash and signing a note for \$4,000, one asset (equipment) increases \$10,000, another asset (cash) decreases \$6,000, and a liability (notes payable) increases \$4,000. The result is that the accounting equation remains in balance—assets increased by a net \$4,000 and liabilities increased by \$4,000, as shown below.

Assets		=	Liabilities	+	Stockholders' Equity
Cash	Equipment	=	Notes Payable		
-\$6,000	+\$10,000	=	+\$4,000		
+\$4,000					

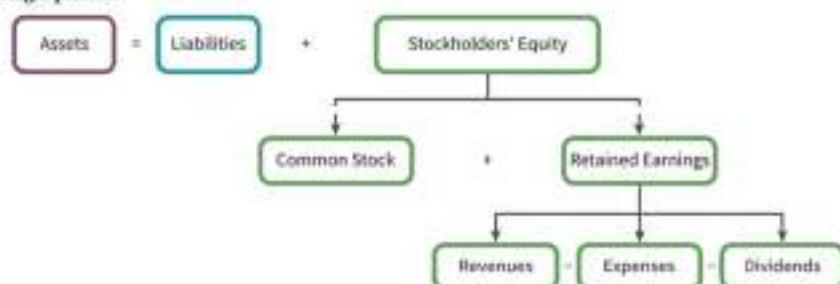
Illustration 3.10 presented the financial statements for Sierra Corporation for its first month. You should review those financial statements at this time. To illustrate how economic events affect the accounting equation, we will examine the events affecting Sierra during its first month.

In order to analyze the transactions for Sierra, we will expand the basic accounting equation. This allows us to better illustrate the impact of transactions on stockholders' equity.

- Recall that stockholders' equity is comprised of two parts: common stock and retained earnings.
- Common stock is affected when the company issues new shares of stock in exchange for cash.
- Retained earnings is increased when the company recognizes revenue, and decreased when the company incurs expenses or pays dividends.

Illustration 3.7 shows the expanded equation.

ILLUSTRATION 3.7 Expanded accounting equation



To demonstrate the effect that each transaction has on particular financial statements, we analyze each of Sierra's transactions using the tabular analysis shown in **Illustration 3.8**.

- Amounts that are reported on the balance sheet are shaded in yellow; income statement items in blue, and dividends (shown on the retained earnings statement) in gray.
- Explanations for income statement items are reported in the blue section on the right-hand side.
- The green section on the left-hand side indicates whether cash flows increased, decreased, or were not affected.

ILLUSTRATION 3.8 Tabular analysis of transactions

CASH FLOW	BALANCE SHEET							INCOME STATEMENT				
	Assets	=	Liabilities	+	Stockholders' Equity							
					Common	Retained Earnings						
					Stock	+	Rev.	-	Exp.	-	Div.	

Event (1). Investment of Cash by Stockholders

On October 1, cash of \$10,000 is invested in the business by investors in exchange for \$10,000 of common stock. This event is an accounting transaction that results in an increase in both assets and stockholders' equity.

Basic Analysis: The asset Cash is increased \$10,000; stockholders' equity (specifically Common Stock) is increased \$10,000.

CASH FLOW	BALANCE SHEET								INCOME STATEMENT
	Assets	=	Liabilities	+	Stockholders' Equity				
					Common Stock	Retained Earnings			
	Cash	=			Stock	Rev.	Exp.	Div.	
\$10,000	(1) +\$10,000	=			+\$10,000				No effect

The equation is in balance after the issuance of common stock. Keeping track of the source of each change in stockholders' equity is essential for later accounting activities. In particular, items recorded in the revenue and expense columns are used for the calculation of net income.

Event (2). Note Issued in Exchange for Cash

On October 1, Sierra borrowed \$5,000 from Castle Bank by signing a 3-month, 12%, \$5,000 note payable. This transaction results in an equal increase in assets and liabilities. The specific effect of this transaction and the cumulative effect of the first two transactions are as follows.

Basic Analysis: The asset Cash is increased \$5,000; the liability Notes Payable is increased \$5,000.

CASH FLOW	BALANCE SHEET							INCOME STATEMENT
	Assets	=	Liabilities	+	Stockholders' Equity			
					Retained Earnings			
	Cash	=	Notes Payable	+	Common Stock	+	Rev. - Exp. - Div.	
	\$10,000	=			\$10,000			
\$5,000	(2) +5,000	=	+5,000					No effect
	\$15,000	=	\$5,000	+	\$10,000			
					\$15,000			

Total assets are now \$15,000, and liabilities plus stockholders' equity also total \$15,000.

Event (3). Purchase of Equipment for Cash

On October 2, Sierra purchased equipment by paying \$5,000 cash to Superior Equipment Sales Co. This transaction results in an equal increase and decrease in Sierra's assets.

Basic Analysis: The asset Equipment is increased \$5,000; the asset Cash is decreased \$5,000.

CASH FLOW	BALANCE SHEET			INCOME STATEMENT
	Assets	=	Liabilities + Stockholders' Equity	

\$39,150

\$39,150

Describe each transaction that occurred for the month.

ACTION PLAN

- Analyze the tabular analysis to determine the nature and effect of each transaction.
- Keep the accounting equation in balance.
- Remember that a change in an asset will cause a change in another asset, in a liability, or in stockholders' equity.

Related exercise material: BE3-6, BE3-7, BE3-8, BE3-9, BE3-10, BE3-11, DO IT! 3-2a, E3-4, E3-5, E3-6, E3-7, E3-8, and E3-9.

Event (6). Payment of Rent

On October 3, Sierra paid its office rent for the month of October in cash, \$900 (see [Helpful Hint](#)). This rent payment is a transaction that results in a decrease in an asset, cash, as well as a decrease in stockholders' equity.

- Rent is a cost incurred by Sierra in its effort to generate revenues.
- Rent is treated as an expense because it pertains only to the current month.
- **Expenses decrease stockholders' equity.**

HELPFUL HINT

Note that a minus sign is placed in front of the \$900 expense in the following analysis. Since expenses reduce stockholders' equity, we must enter expenses as negatives. This keeps the basic accounting equation in balance.

Because expenses decrease stockholders' equity, the \$900 increase in rent expense is entered as a negative. Overall, assets (cash) decrease by \$900 and stockholders' equity decreases by \$900, thereby keeping the accounting equation in balance.

Basic Analysis: The expense account Rent Expense is increased \$900 because the payment pertains only to the current month; the asset Cash is decreased \$900.

CASH FLOW		BALANCE SHEET										INCOME STATEMENT	
		Assets		=	Liabilities		+	Stockholders' Equity					
								Retained Earnings					
		Cash	Equipment	=	Notes Pay.	Unearned Serv. Rev.	+	Common Stock	Rev.	Exp.	-	Div.	
		\$21,200	+ \$5,000	=	\$5,000	+ \$1,200	+	\$10,000	+ \$10,000				
		(6) -900		=						- \$900			
		\$20,300	+ \$5,000	=	\$5,000	+ \$1,200	+	\$10,000	+ \$10,000	- \$900			
		\$25,300						\$25,300					
							</						

Event (7). Purchase of Insurance Policy for Cash

On October 4, Sierra paid \$600 for a one-year insurance policy that will expire next year on September 30. Payments of expenses that will benefit more than one accounting period are identified as assets called prepaid expenses or prepayments.

Basic Analysis: The asset Cash is decreased \$600; the asset Prepaid Insurance is increased \$600.

CASH FLOW		BALANCE SHEET										INCOME STATEMENT		
		Assets			=	Liabilities			+	Stockholders' Equity				
										Retained Earnings				
		Cash	Prepaid Insurance	Equipment	=	Notes Pay.	Unearned Serv. Rev.	Common Stock		Rev.	Exp.	Div.		
		\$20,400		+ \$5,000	=	\$5,000	+ \$1,200	+ \$10,000		\$10,000	- \$600			
		(7) -600	+ \$600		=								No effect	
		\$19,800	+ \$600	+ \$5,000	=	\$5,000	+ \$1,200	+ \$10,000		\$10,000	- \$600			
		\$25,400				\$25,400								

The balance in total assets did not change; one asset account decreased by the same amount that another increased.

Event (8). Purchase of Supplies on Account

On October 5, Sierra purchased an estimated three months of supplies on account from Aero Supply for \$2,500. In this case, "on account" means that the company receives goods or services that it will pay for at a later date. This transaction increases both an asset (supplies) and a liability (accounts payable).

Basic Analysis: The asset Supplies is increased \$2,500; the liability Accounts Payable is increased \$2,500.

CASH FLOW		BALANCE SHEET										INCOME STATEMENT		
		ASSETS				=	LIABILITIES			+	STOCKHOLDERS' EQUITY			
				Prepaid Insur.	Equip-ment		Notes Pay.	Accounts Payable	Unearned Serv. Rev.	Common Stock	Retained Earnings			
		Cash	Supplies								Rev.	Exp.	Div.	
		\$19,800		\$600	\$5,000	=	\$5,000		\$1,200	\$10,000	\$10,000	\$600		
No effect	(8)		+ \$2,500			=		+ \$2,500						
		\$19,800	\$2,500	\$600	\$5,000	=	\$5,000	\$2,500	\$1,200	\$10,000	\$10,000	\$600		
		\$27,900					\$27,900							

Event (9). Hiring of New Employees

On October 9, Sierra hired four new employees to begin work on October 15. Each employee will receive a weekly salary of \$500 for a five-day work week, payable every two weeks. Employees will receive their first paychecks on October 26. On the date Sierra hires the employees, there is no effect on the accounting equation because the assets, liabilities, and stockholders' equity of the company have not changed.

Basic Analysis: An accounting transaction has not occurred. There is only an agreement that the employees will begin work on October 15. (See Event (11) for the first payment.)

Event (10). Payment of Dividend

On October 20, Sierra paid a \$500 cash dividend (see [Helpful Hint](#)). **Dividends are a reduction of stockholders' equity but not an expense.** Dividends are not included in the calculation of net income. Instead, a dividend is a distribution of the company's assets to its stockholders, which is presented in the retained earnings statement.

HELPFUL HINT

Since dividends reduce stockholders' equity, we place a minus sign in front of the \$500 dividend, as shown in the analysis below.

Basic Analysis: The Dividends account is increased \$500; the asset Cash is decreased \$500.

CASH FLOW	BALANCE SHEET										INCOME STATEMENT		
	Assets			=	Liabilities		+	Stockholders' Equity					
	Cash	Supplies	Prepaid Insur.		Notes Pay.	Accounts Payable		Unearned Serv. Rev.	Common Stock	Retained Earnings	Rev.	Exp.	Div.
	\$19,800		+ \$600	=	\$5,000			+ \$1,200	+ \$10,000	+ \$10,000	- \$600		
				=									
	\$19,800		+ \$600	=	\$5,000			+ \$1,200	+ \$10,000	+ \$10,000	- \$600		
	\$20,400				\$20,400								

Cash	+	Supplies	+	Prepd. Insur.	+	Equip- ment	=	Notes Pay.	+	Accts. Pay.	+	Unearned Serv. Rev.	+	Common Stock	+	Ret.	-	Exp.	-	Div.
\$19,200	+	\$2,500	+	\$600	+	\$5,000	=	\$5,000	+	\$2,500	+	\$1,200	+	\$10,000	+	\$10,000	-	\$900	-	\$200
(10)		-900																		
\$19,200	+	\$2,500	+	\$600	+	\$5,000	=	\$5,000	+	\$2,500	+	\$1,200	+	\$10,000	+	\$10,000	-	\$900	-	\$200
				(\$7,500)								(\$7,500)								

↓ \$500

No effect

Event (11), Payment of Cash for Employee Salaries

Basic Analysis: The asset Cash is decreased \$4,000; the expense account Salaries and Wages Expense is increased \$4,000.

CASH FLOW		BALANCE SHEET		INCOME STATEMENT
		Assets = Liabilities + Stockholders' Equity		
		Cash + Supplies + Prepd. Equip- Notes Accts Unearned Common Retained Earnings		
		ment = Pay + Pay + Serv. Rev. + Stock + Inc. - Exp. - Div.		
\$4,000	(LI)	\$19,200 + \$2,588 + \$600 + \$5,000 = \$5,000 + \$2,500 + \$1,200 + \$18,000 + \$10,000 - \$ 900 - \$500		
		-4,000		-4,000
		\$15,200 + \$2,588 + \$600 + \$5,000 = \$5,000 + \$2,500 + \$1,200 + \$18,000 + \$10,000 - \$4,900 - \$500		
		\$23,200		\$23,200

Accounting Across the Organization

It Starts with the Transaction



Recording financial transactions in a company's records should be straightforward. If a company determines that a transaction involves revenue, it records revenue. If it has an expense, then it records an expense. However, sometimes this is difficult to do.

In other situations, outright fraud may occur. For example, regulators charged **Obsidian Energy** for fraudulently moving millions of dollars in expenses from operating expenses to asset accounts. By understating reported operating expenses, Obsidian made it appear that it was efficiently managing its costs as well as increasing its income.

Sources: Based on Shawn Tully, "The Mystery of Hain Celestial's Accounting," *Fortune*.com (August 20, 2016); and Kelly Cryderman, "U.S. Charges Obsidian, Formerly Penn West, with Accounting Fraud," *The Globe and Mail* (June 28, 2017).

Why is it important for companies to record financial transactions completely and accurately?

DO IT! 2a

Part 2: A tabular analysis of transactions made by Roberta Mender & Co., a certified public accounting firm, for the month of August is shown below. Each change in revenues or expenses is explained.

Assets		=	Liabilities	+	Stockholders' Equity				
Cash	Accounts Receivable	=		+	Common Stock	Retained Earnings			
						Revenues	Expenses	Dividends	
1. +\$9,200						+\$9,200			Service Revenue
2.	+\$7,400					+\$7,400			Service Revenue
3. -900								-\$900	
4. -1,250							-\$1,250		Sal./Wages Exp.
\$7,050	\$7,400	=			+	\$16,600	-	\$1,250	-\$900
\$14,450						\$14,450			

Describe each transaction that occurred for the month.

ACTION PLAN

Solution

Related exercise material: BE3.6, BE3.7, BE3.8, BE3.9, BE3.10, BE3.11, DO IT! 3.2a, E3.3, E3.4, E3.5, and E3.6

Summary of transactions

Illustration 3.9 summarizes the transactions of Sierra Corporation to show their cumulative effect on the basic accounting equation. It includes the revenue effect in the first column on the left. The right-most column shows the specific effect of any transaction that affects revenues or expenses. Remember that Event (9) did not result in a transaction, so nothing is recorded for that event. The illustration demonstrates three important points:

1. Each transaction is analyzed in terms of its effect on assets, liabilities, and stockholders' equity.
2. The two sides of the equation must always be equal.
3. The cause of each change in revenues or expenses must be indicated.

ILLUSTRATION 3.9 Summary of transactions

BALANCE SHEET												INCOME STATEMENT	
Assets				=	Liabilities			+	Stockholders' Equity				
Cash	Supplies	Prepd. Insur.	Equip-ment		Notes Pay.	Accts. Pay.	Unearned Serv. Rev.		Common Stock	Retained Earnings			
										Rev.	Exp.	Div.	
(1) +\$10,000									+\$10,000				
(2) +5,000					+\$5,000								
(3) -5,000			+\$5,000										
(4) +1,200							+\$1,200						
(5) +10,000										+\$10,000			Service Revenue
(6) -900											-900		Rent Expense
(7) -600		+\$600											
(8) +\$2,500						+\$2,500							
(9)													
(10) -500												-\$500	
(11) -4,000											-4,000		Sal./Wages Expense
<u>\$15,200</u>	<u>\$2,500</u>	<u>\$600</u>	<u>\$5,000</u>	=	<u>\$5,000</u>	<u>\$2,500</u>	<u>\$1,200</u>		<u>\$10,000</u>	<u>\$10,000</u>	<u>\$4,900</u>	<u>\$500</u>	
\$23,300					\$23,300								

Preparing Financial Statements

Companies prepare financial statements from the summarized accounting data. For example, Illustration 3.10 shows the financial statements of Sierra Corporation, based on the summary of transactions shown in Illustration 3.9. Looking at Illustration 3.10, you may notice that the amounts in these statements differ from those in Illustration 3.9. The reason these numbers do not agree is because the financial statements in Chapter 3 are based on adjusted numbers. Additional adjustments are required at the end of the accounting period before the financial statements can be finalized. We show the necessary adjustments for Sierra in Chapter 4.

ILLUSTRATION 3.10 Financial statements and their interrelationships

Sierra Corporation	
Income Statement	
For the Month Ended October 31, 2027	
Revenues	
Service revenue	\$10,000
Expenses	
Salaries and wages expense	\$4,000
Rent expense	900
Total expenses	<u>4,900</u>
Net income	<u>\$ 5,100</u>

Sierra Corporation	
Retained Earnings Statement	
For the Month Ended October 31, 2027	
Retained earnings, October 1	\$ 0
Add: Net income	<u>5,100</u>
	5,100
Less: Dividends	<u>500</u>
Retained earnings, October 31	<u>\$4,600</u>

Sierra Corporation	
Balance Sheet	
October 31, 2027	
Assets	
Current assets	
Cash	\$15,200
Supplies	2,500
Prepaid insurance	<u>600</u>
Total current assets	<u>\$18,300</u>
Equipment	<u>5,000</u>
Total assets	<u>\$23,300</u>
Liabilities and Stockholders' Equity	
Current liabilities	

bal.	\$32	+	\$712	+	\$1,291	+	\$538	=	\$747	+	\$873	+	\$4,563	-	\$3,535	=	\$0
	\$2,573								\$2,648								

Because the tabular analysis is not in balance, you have checked with various people responsible for entering accounting data and have discovered the following.

1. The purchase of 35 new trucks, costing \$7 million and paid for with cash, was not recorded.
2. A data entry clerk accidentally deleted the account name for an account with a balance of \$472 million, so the amount was added to the Mortgage Payable account.
3. December cash sales revenue of \$75 million increased the Sales Revenue account, but the other half of the transaction was not recorded.
4. \$50 million of Salaries and Wages Expense was mistakenly charged to Maintenance and Repairs Expense.

Instructions

Answer these questions.

- a. Which mistake(s) caused the tabular analysis to be out of balance?
- b. Should all of the items be corrected? Explain.
- c. What is the name of the account the data entry clerk deleted?
- d. Make the necessary corrections and prepare a correct summary tabular analysis.

[Solution](#)

Review and Practice

Learning Objectives Review

1 Discuss financial reporting concepts.

Generally accepted accounting principles are a set of rules and practices recognized as a general guide for financial reporting purposes. The basic objective of financial reporting is to provide information that is useful for decision-making.

To be judged useful, information should have the primary characteristics of relevance and faithful representation. In addition, useful information is comparable, consistent, verifiable, timely, and understandable.

The **monetary unit assumption** requires that companies include in the accounting records only transaction data that can be expressed in terms of money. The **economic entity assumption** states that every economic entity can be separately identified and accounted for. The **periodicity assumption** states that the economic life of a business can be divided into artificial time periods and that meaningful accounting reports can be prepared for each period. The **going concern assumption** states that the business will continue in operation for the foreseeable future.

The **historical cost principle** states that companies should record assets at their cost. The **fair value principle** indicates that assets and liabilities should be reported at fair value. The **full disclosure principle** requires that companies disclose sufficient details regarding circumstances and events that would make a difference to financial statement users.

The **cost constraint** weighs the cost that companies incur to provide a type of information against its benefit to financial statement users.

2 Analyze the effect of business transactions on the basic accounting equation.

Each business transaction must have a dual effect on the accounting equation. For example, if an individual asset is increased, there must be a corresponding (a) decrease in another asset, and/or (b) increase in a specific liability, and/or (c) increase in stockholders' equity.

Decision Tools Review

Decision Checkpoints	Info Needed for Decision	Tool to Use for Decision	How to Evaluate Results
Has an accounting transaction occurred?	Details of the event	Accounting equation	If the event affects assets, liabilities, or stockholders' equity, then record as a transaction.

Glossary Review

Accounting information system

The system of collecting and processing transaction data and communicating financial information to decision-makers.

Accounting transactions

Events that require recording in the financial statements because they affect assets, liabilities, or stockholders' equity.

Comparability

Ability to compare the accounting information of different companies because they use the same accounting principles.

Consistency

Use of the same accounting principles and methods from year to year within a company.

Cost constraint

Constraint that weighs the cost that companies will incur to provide the information against the benefit that financial statement users will gain from having the information available.

Economic entity assumption

An assumption that every economic entity can be separately identified and accounted for.

Fair value principle

Accounting principle that states that assets and liabilities should be reported at fair value (the price that would be received to sell an asset or to settle a liability).

Faithful representation

Information that accurately depicts what really happened.

Financial Accounting Standards Board (FASB)

The primary accounting standard-setting body in the United States.

Full disclosure principle

Accounting principle that dictates that companies disclose circumstances and events that make a difference to financial statement users.

Generally accepted accounting principles (GAAP)

A set of accounting standards that have substantial authoritative support and which guide accounting professionals in the United States.

Going concern assumption

The assumption that the company will continue in operation for the foreseeable future.

Historical cost principle

Accounting principle that states that companies should record assets at their cost.

International Accounting Standards Board (IASB)

An accounting standard-setting body that issues standards adopted by many countries outside of the United States.

International Financial Reporting Standards (IFRS)

Accounting standards, issued by the IASB, that have been adopted by many countries outside of the United States.

Materiality

Whether omitting or misstating an item would influence the decision of a financial statement user.

Monetary unit assumption

An assumption that requires that only those things that can be expressed in money are included in the accounting records.

Periodicity assumption

An assumption that the life of a business can be divided into artificial time periods and that useful reports covering those periods can be prepared for the business.

Public Company Accounting Oversight Board (PCAOB)

The group charged with determining auditing standards and reviewing the performance of auditing firms.

Relevance

The quality of information that indicates the information makes a difference in a decision.

Securities and Exchange Commission (SEC)

The agency of the U.S. government that oversees U.S. financial markets and accounting standard-setting bodies.

Timely

Information that is available to decision-makers before it loses its capacity to influence decisions.

Understandability

Information presented in a clear and concise fashion so that users can interpret it and comprehend its meaning.

The quality of information that occurs when independent observers, using the same methods, obtain similar results.

Practice Multiple-Choice Questions

1. (1.0.1) Generally accepted accounting principles are:
- a. a set of standards and rules that are recognized as a general guide for financial reporting.
 - b. usually established by the Internal Revenue Service.
 - c. the guidelines used to resolve ethical dilemmas.
 - d. fundamental truths that can be derived from the laws of nature.

Solution

2. (1.0.1) What organization issues U.S. accounting standards?
- a. Financial Accounting Standards Board.
 - b. International Accounting Standards Committee.
 - c. International Auditing Standards Committee.
 - d. None of the answer choices is correct.

Solution

3. (1.0.1) What is the primary criterion by which accounting information can be judged?
- a. Consistency.
 - b. Predictive value.
 - c. Usefulness for decision-making.
 - d. Comparability.

Solution

4. (1.0.1) Neutrality is an ingredient of:

	Faithful Representation	Relevance
a.	Yes	Yes
b.	No	No
c.	Yes	No
d.	No	Yes

Solution

5. (1.0.1) The characteristic of information that evaluates whether it is large enough to impact a decision.
- a. Comparability.
 - b. Materiality.
 - c. Cost.
 - d. Consistency.

Solution

6. (1.0.2) The effects on the basic accounting equation of performing services for cash are to:
- a. increase assets and decrease stockholders' equity.
 - b. increase assets and increase stockholders' equity.
 - c. increase assets and increase liabilities.
 - d. increase liabilities and increase stockholders' equity.

Solution

7. (1.0.2) Genesis Company buys a \$900 machine on credit. This transaction will affect the:
- a. income statement only.
 - b. balance sheet only.
 - c. income statement and retained earnings statement only.
 - d. income statement, retained earnings statement, and balance sheet.

Solution

8. (1.0.2) Which of the following events is **not** recorded in the accounting records?
- a. Equipment is purchased on account.
 - b. An employee is terminated.
 - c. A cash investment is made into the business.
 - d. Company pays dividend to stockholders.

Solution

9. (1.0.2) During 2027, Gibson Company assets decreased \$50,000 and its liabilities decreased \$90,000. Its stockholders' equity therefore:
- a. increased \$40,000.
 - b. decreased \$140,000.
 - c. decreased \$40,000.
 - d. increased \$140,000.

Solution

Practice Brief Exercises

Determine effect of transactions on basic accounting equation.

1. (1.0.2) Presented below are three economic events. Create a table with rows (a), (b), and (c), and columns for assets, liabilities, and stockholders' equity. In each column, indicate whether the event increased (+), decreased (-), or had no effect (NE) on assets, liabilities, and stockholders' equity.
- a. Paid amount owed on accounts payable.
 - b. Purchased equipment on account.
 - c. Incurred expenses on account.

Solution

Determine effect of transactions on stockholders' equity.

1. (1.0.2) Presented below are three transactions. Mark each transaction as affecting common stock (CS), dividends (D), retained earnings (RE), or common (CE), or not affecting stockholders' equity (NRE).

- a. Received cash for services previously performed on account.
 b. Paid cash for rent cost incurred.
 c. Paid cash to stockholders.

Solution

Determine effect of transactions on basic accounting equation.

3. (LO 2) Rain Corp. entered into the following transactions.
1. Purchased equipment for \$31,000 by issuing a note.
 2. Received \$960 from tenant for rent.
 3. Paid \$520 for supplies previously purchased on account.
 4. Performed services on account for \$12,500.

Using the following tabular analysis, show the effect of each transaction on the accounting equation. Put explanations for changes to revenues or expenses in the right-hand margin. For retained earnings, use separate columns for revenues, expenses, and dividends if necessary. Use Illustration 3.9 as a model.

Assets				=	Liabilities		+	Stockholders' Equity			
Cash	Accts. Receivable	Supplies	Equip.	=	Accts. Pay.	Notes Pay.	+	Common Stock	Retained Earnings		
				=			+		Rev.	Exp.	Div.

Solution

Practice Exercises

Use tabular presentation to record transactions.

1. (LO 2) Legal Services Inc. was incorporated on July 1, 2027. During the first month of operations, the following transactions occurred.
1. Stockholders invested \$10,000 in cash in exchange for common stock of Legal Services Inc.
 2. Paid \$800 for July rent on office space.
 3. Purchased office equipment on account \$3,000.
 4. Performed legal services for clients for cash \$1,500.
 5. Borrowed \$700 cash from a bank on a note payable.
 6. Performed legal services for client on account \$2,000.
 7. Paid monthly expenses: salaries \$500, utilities \$300, and advertising \$100.

Instructions

Prepare a tabular summary of the transactions. Include margin explanations for any changes in revenues or expenses.

Solution

Use tabular presentation to record transactions.

2. (LO 2) Presented below is information related to Conan Real Estate Agency.

Oct.	1	Arnold Conan begins business as a real estate agent with a cash investment of \$28,000 in exchange for common stock.
	2	Hires an administrative assistant.
	3	Purchases office equipment for \$1,700, on account.
	6	Sells a house and lot for B. Clinton; bills B. Clinton \$4,200 for realty services performed.
	27	Pays \$900 on the balance related to the transaction of October 3.
	30	Pays the administrative assistant \$2,800 in salary for October.

Instructions

Prepare a tabular summary of the transactions. Include margin explanations for any changes in revenues or expenses.

Solution

Brief Exercises, DO IT! Exercises, Exercises, Problems, Data Analytics Activities, and many additional resources are available for practice in the Wiley online course.

Questions

1.
 - a. What are generally accepted accounting principles (GAAP)?
 - b. What body provides authoritative support for GAAP?
2.
 - a. What is the primary objective of financial reporting?
 - b. Identify the characteristics of useful accounting information.
3. Merle Hawkins, the president of Pathway Company, is pleased. Pathway substantially increased its net income in 2027 while keeping its unit inventory relatively the same. Jon Dietz, chief accountant, cautions Merle, however. Jon says that since Pathway changed its method of inventory valuation, there is a consistency problem and it is difficult to determine whether Pathway is better off. Is Jon correct? Why or why not?
4. What is the distinction between comparability and consistency?
 - a. Provide an example illustrating how comparability and consistency differ.
5. Describe the constraint inherent in the presentation of accounting information.
6. Your roommate believes that accounting standards are uniform throughout the world. Is your roommate correct? Explain.
7. Wanda Roberts is president of Best Texts. She has no accounting background. Wanda cannot understand why fair value is not used as the basis for all accounting measurement and reporting. Discuss.
8. What is the economic entity assumption? Give an example of its violation.
9. Describe the accounting information system.
10. Can a business enter into a transaction that affects only the left side of the basic accounting equation? If so, give an example.
11. Are the following events recorded in the accounting records? Explain your answer in each case.
 - a. A major stockholder of the company dies.
 - b. Supplies are purchased on account.
 - c. An employee is fired.
 - d. The company pays a cash dividend to its stockholders.
12. Indicate how each business transaction affects the basic accounting equation.
 - a. Paid cash for fuel for fleet of vehicles.

6. Paid cash for janitorial services.
b. Purchased equipment for cash.

- c. Issued common stock to investors in exchange for cash.
- d. Paid an account payable in full.

Brief Exercises

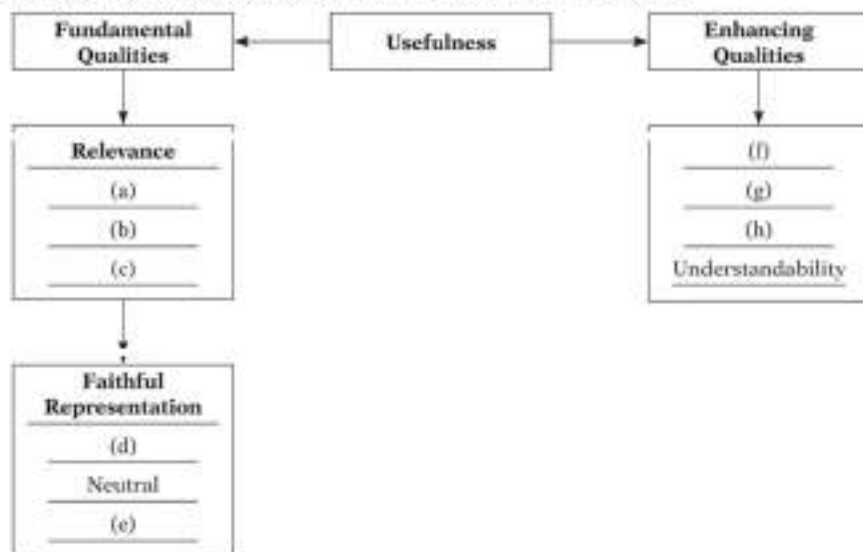
Recognize generally accepted accounting principles.

BE3-1 (LO 1), K Indicate whether each statement is true or false. If the statement is false, indicate how to correct the statement.

- GAAP is a set of rules and practices established by accounting standard-setting bodies to serve as a general guide for financial reporting purposes.
- Substantial authoritative support for GAAP usually comes from two standard-setting bodies: the FASB and the IRS.

Identify characteristics of useful information.

BE3-2 (LO 1), K The accompanying chart shows the qualitative characteristics of useful accounting information. Fill in the blanks.



Identify characteristics of useful information.

BE3-3 (LO 1), K Given the characteristics of useful accounting information, complete each of the following statements.

- For information to be _____, it should have predictive and confirmatory value.
- _____ means that information accurately depicts what really happened.
- _____ means using the same accounting principles and methods from year to year within a company.

Identify characteristics of useful information.

BE3-4 (LO 1), K Here are some qualitative characteristics of useful accounting information:

- Predictive value
- Neutral
- Verifiable
- Timely

Match each qualitative characteristic to one of the following statements.

- Accounting information should help provide accurate expectations about future events.
- Accounting information cannot be selected, prepared, or presented to favor one set of interested users over another.
- Independent observers, using the same methods, are able to identify closely similar accounting information, using the same accounting principles and methods.
- Accounting information must be available to decision-makers before it loses its capacity to influence their decisions.

Define full disclosure principle.

BE3-5 (LO 1), K Select the best response for the following. The full disclosure principle dictates that:

- financial statements should disclose all assets at their cost.
- financial statements should disclose only those events that can be measured in dollars.
- financial statements should disclose all events and circumstances that would matter to users of financial statements.
- financial statements should not be relied on unless an auditor has expressed an unqualified opinion on them.

Determine effect of transactions on basic accounting equation.

BE3-6 (LO 2), C Presented below are three economic events. Create a table with rows (a), (b), and (c), and columns for assets, liabilities, and stockholders' equity. In each column, indicate whether the event increased (+), decreased (-), or had no effect (NE) on assets, liabilities, and stockholders' equity.

- Purchased supplies on account.
- Received cash for performing a service.
- Expenses paid in cash.

Determine effect of transactions on basic accounting equation.

BE3-7 (LO 2), C Presented below are three economic events. Create a table with rows (a), (b), and (c), and columns for assets, liabilities, and stockholders' equity. In each column, indicate whether the event increased (+), decreased (-), or had no effect (NE) on assets, liabilities, and stockholders' equity.

- Stockholders invested cash in the business for common stock.
- Paid a cash dividend.
- Received cash from a customer who had previously been billed for services performed.

Classify items affecting stockholders' equity.

BE3-8 (LO 2), C Indicate the effect each account has on Retained Earnings.

- Advertising expense.
- Service revenue.
- Insurance expense.
- Salaries and wages expense.
- Dividends.
- Rent revenue.
- Utilities expense.

Determine effect of transactions on stockholders' equity.

BE3-9 (LO 2), C Presented below are three transactions. Mark each transaction as affecting common stock (C), dividends (D), revenue (R), or expense (E), or not affecting stockholders' equity (N/A).

- Received cash for services performed.
- Paid cash to purchase equipment.
- Paid cash to purchase equipment.

Determine effect of transactions on basic accounting equation.

BE3-10 (LO 2), AP Manion Corp. entered into the following transactions:

1. Borrowed \$60,000 by issuing a note.
2. Paid \$4,000 cash dividend to stockholders.
3. Received \$13,000 cash from a previously billed customer for services performed.
4. Purchased supplies on account for \$3,100.

Using the following tabular analysis, show the effect of each transaction on the accounting equation. Put explanations for changes to revenues or expenses in the right-hand margin. For retained earnings, use separate columns for revenues, expenses, and dividends if necessary. Use [Illustration 3.6](#) as a model.

Assets			=	Liabilities		+	Stockholders' Equity									
Accounts				Accounts	Notes		Common	Retained Earnings								
Cash	+	Receivable	+	Supplies	=	Payable	+	Payable	+	Stock	+	Rev.	-	Exp.	-	Div.

Determine effect of transactions on basic accounting equation.

BE3-14 (LO 2), AP Rostock Company entered into the following transactions

1. Purchased equipment for \$286,176 cash.
2. Issued common stock to investors for \$137,590 cash.
3. Purchased inventory of \$68,480 on account.

Using the following tabular analysis, show the effect of each transaction on the accounting equation. Put explanations for changes to revenues or expenses in the right-hand margin. For retained earnings, use separate columns for revenues, expenses, and dividends if necessary. Use [Illustration 3.0](#) as a model.

Assets				=	Liabilities	+	Stockholders' Equity							
					Accounts		Common	Retained Earnings						
Cash	+	Inventory	+	Equipment	=	Payable	+	Stock	+	Rev.	-	Exp.	-	Div.
100	+	200	+	300	=	100	+	200	+	100	-	0	-	0
100	+	200	+	300	=	100	+	200	+	100	-	0	-	0

DO IT! Exercises

Identify financial accounting concepts and principles

DO IT! 3-1 (LO 1) & The following characteristics, assumptions, principles, and constraint guide the FASB when it creates accounting standards:

- a. Relevance
- b. Faithful representation
- c. Comparability
- d. Consistency
- e. Monetary unit assumption
- f. Economic entity assumption
- g. Periodicity assumption
- h. Going concern assumption
- i. Historical cost principle
- j. Full disclosure principle
- k. Materiality
- l. Cost constraint

Match each item above with a description below.

1. _____ Items not easily quantified in dollar terms are not reported in the financial statements.
2. _____ Accounting information must be accurate, neutral, and free from bias.
3. _____ Accounting information must be complete, material, and not in error.
3. _____ Personal transactions are not mixed with the company's transactions.
4. _____ The cost to provide information should be weighed against the benefit that users will gain from having the information available.
5. _____ A company's use of the same accounting principles from year to year.
6. _____ Assets are recorded and reported at original purchase price.
7. _____ Accounting information should help users predict future events, and should confirm or correct prior expectations.
8. _____ The life of a business can be divided into artificial segments of time.
9. _____ The reporting of all information that would make a difference to financial statement users.
10. _____ The judgment concerning whether an item's size makes it likely to influence a decision-maker.
11. _____ Assumes a business will remain in operation for the foreseeable future.
12. _____ Different companies use the same accounting principles.

Prepare tabular analysis.

DO IT! 3.28 (**LO 2**), **AP** Transactions made by Mickelson Co. for the month of March are shown below. Prepare a tabular analysis that shows the effects of these transactions on the expanded accounting equation, similar to that shown in [Illustration 9.9](#). Use the following column headings: Cash, Accounts Receivable, Accounts Payable, Common Stock, and Retained Earnings (Revenues, Expenses, and Dividends).

1. The company performed \$20,000 of services for customers on account.
2. The company received \$20,000 in cash from customers who had been billed for services [in transaction (1)].
3. The company received a bill for \$1,800 of advertising but will not pay it until a later date.
4. Mickelson Co. paid a cash dividend of \$5,000.

Prepare financial statements

EO IT: 3-2b (LO 2), AP The following summary tabular analysis was prepared for Vortex Corporation as of December 31, 2022.

Assets					=	Liabilities			+	Stockholders' Equity									
Accts.						Accts.		Notes		Common									
Cash	+	Rec.	+	Supplies	+	Equip.	=	Pay.	+	Pay.	+	Stock	+	Retained Earnings					
\$480	+	\$648	+	\$205	+	\$10,657	=	\$270	+	\$800	+	\$5,000	+	\$965					
													+	Rev.	-	Exp.	-	Div.	
													+	\$8,715					
\$480	+	\$648	+	\$205	+	\$10,657	=	\$270	+	\$800	+	\$5,000	+	\$8,715	-	\$1,420	-	\$250	

Prepare an income statement, a retained earnings statement, and a classified balance sheet for the year ended December 31, 2027.

Exercises

Identify accounting assumptions and principles

EXA (1.0.1). E Presented below are assumptions and principles discussed in this chapter

1. Full disclosure principle
2. Going concern assumption
3. Monetary unit assumption
4. Periodicity assumption
5. Historical cost principle
6. Economic entity assumption

Instructions

Identify by number the accounting assumption or principle that is described below. Do not use a number more than once.

- a. Belief that a company will remain in operation for the foreseeable future.
- b. Indicates that personal and business recordkeeping should be separately maintained.
- c. Only those items that can be expressed in money are included in the accounting records.
- d. Separates financial information into time periods for reporting purposes.
- e. Measurement basis used when a reliable estimate of fair value is not available.
- f. Dictates that companies should report all circumstances and events that make a difference to financial statement users.

Identify the assumption or principle that has been violated.

E3-2 (LO 1) C Lopez Co. had three major business transactions during 2027.

- a. Reported at its fair value of \$260,000 merchandise inventory with a cost of \$208,000.
- b. The president of Lopez Co., Victor Lopez, purchased a truck for personal use and increased the company's equipment account.
- c. Lopez Co. wanted to make its 2027 income look better, so it added 2 more weeks to its income statement reporting period (a 54-week year). Previous years were 52 weeks.

Instructions

In each situation, identify the assumption or principle that has been violated, if any, and discuss what the company should have done.

Identify qualitative characteristics.

E3-3 (LO 1) K Here are some fundamental and enhancing qualitative characteristics of financial information.

1. Comparability
2. Completeness
3. Confirmatory value
4. Faithful representation
5. Free from material error
6. Materiality
7. Neutrality
8. Prudence
9. Relevance
10. Timeliness
11. Understandability
12. Verifiability

Instructions

Match each of the above characteristics to one of the following statements, using the numbers 1 to 12.

- a. Accounting information cannot be selected, prepared, or presented to favor one set of interested users over another.
- b. Accounting information must be available to decision-makers before it loses its ability to influence their decisions.
- c. Accounting information is prepared on the assumption that users have a reasonable understanding of accounting and general business and economic conditions.
- d. Accounting information provides a basis to evaluate a previously made decision.
- e. Accounting information includes everything that it needs; nothing important is omitted. This is an important component of faithful representation.
- f. Accounting information helps users make predictions about the outcome of past, present, and future events.
- g. Accounting information about one company can be evaluated against the accounting information from another company.
- h. Accounting information is included if its omission or misstatement could influence the decisions of financial statement users. This is an important component of relevance.
- i. All the accounting information that is necessary to faithfully represent economic reality is included.
- j. Accounting information has few inaccuracies.
- k. Accounting information that will make a difference in users' decisions.
- l. Accounting information about a company can be confirmed by two or more independent users to be a faithful representation.

Analyze the effect of transactions on assets, liabilities, and stockholders' equity.

E3-4 (LO 2) C Keystone Computer Timeshare Company entered into the following transactions during May 2027.

1. Purchased computers for \$20,000 from Data Equipment on account.
2. Paid \$3,000 cash for May rent on storage space.
3. Received \$15,000 cash from customers for contracts billed in April.
4. Performed computer services for Ryan Construction Company for \$2,700 cash.
5. Paid Midland Power Co. \$11,000 cash for energy usage in May.
6. Stockholders invested an additional \$32,000 in the business.
7. Paid Data Equipment for the computers purchased in (1) above.
8. Incurred advertising expense for May of \$840 on account.

Instructions

Indicate with the appropriate letter whether each of the above transactions results in:

- a. An increase in assets and a decrease in assets.
- b. An increase in assets and an increase in stockholders' equity.
- c. An increase in assets and an increase in liabilities.
- d. A decrease in assets and a decrease in stockholders' equity.
- e. A decrease in assets and a decrease in liabilities.
- f. An increase in liabilities and a decrease in stockholders' equity.
- g. An increase in stockholders' equity and a decrease in liabilities.

Analyze the effect of transactions.

E3-5 (LO 2) C Selected transactions for Thyme Advertising Company, Inc. are listed here.

1. Issued common stock to investors in exchange for cash received from investors.
2. Paid monthly rent.
3. Received cash from customers when service was performed.
4. Billed customers for services performed.
5. Paid dividend to stockholders.
6. Incurred advertising expense on account.

- Received cash from customers billed in (4).
- Purchased additional equipment for cash.
- Purchased equipment on account.

Instructions

Describe the effect of each transaction on assets, liabilities, and stockholders' equity. For example, the first answer is (1) increase in assets and increase in stockholders' equity.

Analysis: the effect of transactions on assets, liabilities, and stockholders' equity

Ex. 6 (LO 2), AP Brady Company, a computer services company, entered into these transactions during May, its first month of operations.

- Issued shares of common stock to investors in exchange for \$40,000 in cash.
- Purchased computers for office use (recorded as Equipment) for \$30,000 from Ladd Co. on account.
- Paid \$4,000 cash for May rent on storage space.
- Performed computer services worth \$10,000 on account.
- Performed computer services for Wharton Construction Company for \$5,000 cash.
- Paid Western States Power Co. \$8,000 cash for energy usage in May.
- Paid Ladd Co. for the computers purchased in (2).
- Incurred advertising expense for May of \$1,300 on account.
- Received \$12,000 cash from customers for contracts billed in (4).

Instructions

Using the following tabular analysis, show the effect of each transaction on the accounting equation. Put explanations for changes to revenues or expenses in the right-hand margin. Use [Illustration 3.9](#) as a model.

Assets				=	Liabilities	+	Stockholders' Equity		
Accounts					Accounts		Unearned Revenue		
Cash	Receivable	Equipment			Payable	Stock	Revenues	Expenses	Dividends

Determine effect of transactions on basic accounting equation.

Ex. 7 (LO 2), AP During 2027, its first year of operations as a delivery service, Persimmon Corp. entered into the following transactions.

- Issued shares of common stock to investors in exchange for \$100,000 in cash.
- Borrowed \$45,000 by issuing a note.
- Purchased delivery trucks for \$60,000 cash.
- Performed services for customers for \$16,000 cash.
- Purchased supplies for \$4,700 on account.
- Paid rent of \$5,200.
- Performed services on account for \$10,000.
- Paid salaries of \$28,000.
- Paid a dividend of \$11,000 to shareholders.

Instructions

Using the following tabular analysis, show the effect of each transaction on the accounting equation. Put explanations for changes to revenues or expenses in the right-hand margin. Use [Illustration 3.9](#) as a model.

Assets				=	Liabilities		+	Stockholders' Equity			
Accounts					Accounts	Notes		Common	Retained Earnings		
Cash	Receivable	Supplies	Equipment		Payable	Payable		Stock	Revenues	Expenses	Dividends

Analysis: effects of transactions on assets, liabilities, and stockholders' equity.

Ex. 8 (LO 2), AP Selected transactions for Decorators Mill during its first month of operations are as follows.

	Mar.		
	2	Issued common stock for \$11,000 cash.	
	4	Borrowed a used car for \$1,000 cash and \$9,000 on account, for use in the business.	
	4	Incurred a cash car fee \$1,000 cash and \$9,000 on account, for use in the business.	
	10	Billed customers \$2,300 for services performed.	
	13	Paid \$225 cash to advertise business opening.	
	25	Received \$1,000 cash from customers billed on March 10.	
	27	Paid amount owed for the used car purchased on March 4.	
	30	Received \$700 cash from a customer for services to be performed in April.	
	31	Declared and paid \$300 of dividends to stockholders.	

Instructions

Using the following tabular analysis, show the effect of each transaction on the accounting equation. Put explanations for changes to revenues or expenses in the right-hand margin. Use [Illustration 3.9](#) as a model.

Assets				=	Liabilities		+	Stockholders' Equity			
Accounts					Accounts	Unearned Service		Common	Retained Earnings		
Cash	Receivable	Equipment			Payable	Revenue		Stock	Revenues	Expenses	Dividends

Analysis: effects of transactions on assets, liabilities, and stockholders' equity.

Ex. 9 (LO 2), AP Wong Computer had the following transactions during the month of May.

- Purchased equipment on account for \$8,000.
- Paid \$1,600 for rent for the month of May.
- Performed computer services for \$3,800 on account.
- Paid Buffalo Hydro \$300 cash for utilities used in May.
- Borrowed \$20,000 from the bank.
- Paid supplier for equipment purchased in transaction (1).
- Purchased a one-year insurance policy for \$500 cash.
- Received \$3,000 cash in partial payment of the account owed in transaction (3).
- Declared and paid \$500 of dividends to stockholders.
- Paid income taxes of \$250 for the month.

Instructions

Using the following tabular analysis, show the effect of each transaction on the accounting equation. Put explanations for changes to revenues or expenses in the right-hand margin. Use [Illustration 3.9](#) as a model.

Assets				=	Liabilities		+	Stockholders' Equity			
Accounts					Accounts	Notes		Common	Retained Earnings		
Cash	Receivable	Prepaid Insurance	Equipment		Payable	Payable		Stock	Rev.	Exp.	Div.

Analysis: transactions and compute net income.

Ex. 10 (LO 2), AP A tabular analysis of the transactions made during August 2027 by Wolfe Company during its first month of operations is shown below. Each change in revenues or expenses is explained.

Assets				=	Liabilities	+	Stockholders' Equity			
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	Cash	+	Accounts Receivable	+	Supplies	+	Equipment	=	Accounts Payable	+	Common Stock	+	Rev.	-	Exp.	-	Div.
1.	+\$20,000										+\$20,000						
2.	-1,000						+\$5,000		+\$4,000								
3.	-750				+\$750												
4.	+4,100		+\$3,400										+\$9,500				Serv. Rev.
5.	-1,500								-1,500								
6.	-2,000															-\$2,000	Div.
7.	-800													-\$800			Rent Exp.
8.	+450		-450														
9.	-3,000														-3,000		Sal./Wages Exp.
10.									+300						-300		Util. Exp.

Instructions

- Describe each transaction.
- Determine how much stockholders' equity increased for the month.
- Prepare an income statement for the month of August 2027.

Analyze transactions and prepare financial statements.

E3.11 (LO 2), AP An analysis of the August 2027 transactions made by Foley & Co., a certified public accounting firm, for its first month of operations is shown below. Each change in revenues or expenses is explained.

Assets					=	Liabilities	+	Stockholders' Equity									
Cash		+	Accounts Receivable	+	Supplies	+	Equipment	=	Accounts Payable	+	Common Stock	+	Retained Earnings				
													Rev.	-	Exp.	-	Div.
1.	+\$15,000										+\$15,000						
2.	-2,000						+\$5,000		+\$3,000								
3.	-750				+\$750												
4.	+4,000		+\$4,500										+\$9,400				Serv. Rev.
5.	-1,500								-1,500								
6.	-2,000															-\$2,000	
7.	-850														-\$850		Rent Exp.
8.	+450		-450														
9.	-3,900														-3,900		Sal./Wages Exp.
10.									+500						-500		Util. Exp.

Instructions

- Describe each transaction.
- Determine how much stockholders' equity increased for the month.
- Prepare an income statement and a retained earnings statement for August and a classified balance sheet at August 31, 2027.

Prepare financial statements.

E3.12 (LO 2), AP The accounts of Rapid Delivery Service contain the following balances on July 31, 2027.

Accounts Receivable	\$13,400	Prepaid Insurance	\$ 1,200
Accounts Payable	8,400	Service Revenue	15,500
Cash	12,424	Dividends	700
Equipment	39,300	Common Stock	40,000
Maintenance and Repairs Expense	1,658	Salaries and Wages Expense	7,428
Insurance Expense	900	Salaries and Wages Payable	820
Notes Payable (due 2030)	28,450	Retained Earnings (July 1, 2027)	5,200

Instructions

Prepare an income statement, a retained earnings statement, and a classified balance sheet for the month of July 2027.

Problems

Comment on the objectives and qualitative characteristics of financial reporting.

P3.1 (LO 1), E Writing A friend of yours, Saira Ortiz, recently completed an undergraduate degree in science and has just started working with a biotechnology company. Saira tells you that the owners of the business are trying to secure new sources of financing which are needed in order for the company to proceed with development of a new healthcare product. Saira said that her boss told her that the company must put together a report to present to potential investors.

Saira thought that the company should include in this package the detailed scientific findings related to the Phase I clinical trials for this product. She said, "I know that the biotech industry sometimes has only a 10% success rate with new products, but if we report all the scientific findings, everyone will see what a sure success this is going to be! The president was talking about the importance of following some set of accounting principles. Why do we need to look at some accounting rules? What they need to realize is that we have scientific results that are quite encouraging, some of the most talented employees around, and the start of some really great customer relationships. We haven't made any sales yet, but we will. We just need the funds to get through all the clinical testing and get government approval for our product. Then these investors will be quite happy that they bought in to our company early!"

Instructions

- What is accounting information? Explain to Saira what is meant by generally accepted accounting principles.
- Comment on how Saira's suggestions for what should be reported to prospective investors conforms to the qualitative characteristics of accounting information. Do you think that the things that Saira wants to include in the information for investors will conform to financial reporting guidelines?

Analyze transactions and compute net income.



P3.2 (LO 2), AP On April 1, Wesner Travel Agency Inc. was established. These transactions were completed during the month.

- Stockholders invested \$30,000 cash in the company in exchange for common stock.
- Paid \$900 cash for April office rent.
- Purchased office equipment for \$3,400 cash.
- Purchased \$200 of advertising for the month in the Chicago Tribune, on account.
- Paid \$500 cash for office supplies.
- Performed services worth \$12,000. Cash of \$3,000 is received from customers, and the balance of \$9,000 is billed to customers on account.
- Paid \$400 cash dividend.
- Paid Chicago Tribune amount due in transaction (4).
- Paid employees' salaries \$1,800.
- Received \$9,000 in cash from customers billed previously in transaction (6).

Instructions

- Prepare a tabular analysis of the transactions using these column headings: Cash, Accounts Receivable, Supplies, Equipment, Accounts Payable, Common Stock, and Retained Earnings (with separate columns for Revenues, Expenses, and Dividends). Include margin explanations for any changes in revenues or expenses.

a. Cash \$34,800

b. From an analysis of the Retained Earnings columns, compute the net income or net loss for April.

Analyze transactions and prepare financial statements

P3-3 (LO 2), AP Nona Curry started her own consulting firm, Curry Consulting Inc., on May 1, 2027. The following transactions occurred during the month of May:

May	1	Stockholders invested \$15,000 cash in the business in exchange for common stock.
	2	Paid \$600 for office rent for the month.
	3	Purchased \$500 of supplies on account.
	5	Paid \$150 to advertise for the month in the County News.
	9	Performed services for customer for \$1,400 cash.
	12	Paid \$200 cash dividend.
	13	Performed \$4,200 of services on account.
	17	Paid \$2,500 for employee salaries.
	20	Paid for the supplies purchased on account on May 3.
	23	Received a cash payment of \$1,200 for services performed on account on May 15.
	26	Borrowed \$5,000 from the bank on a 9-month note payable.
	29	Purchased office equipment for \$2,000 paying \$200 in cash and the balance on account.
	30	Paid \$180 for utilities.

Instructions

a. Show the effects of the previous transactions on the accounting equation using the following format. Include margin explanations for any changes in revenues or expenses. Assume the note payable is to be repaid within the year.

[illegible]

b. Prepare an income statement and a retained earnings statement for the month of May 2022.

b. Net income	\$2,170
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c. Prepare a classified balance sheet at May 31, 2027.

Analyze transactions and prepare financial statements



P3-4 (LO 2), AP Binky Crawford created a corporation providing legal services, Binky Crawford Inc., on July 1, 2027. On July 31 the balance sheet showed Cash \$4,000, Accounts Receivable \$2,500, Supplies \$500, Equipment \$5,000, Accounts Payable \$4,200, Common Stock \$6,200, and Retained Earnings \$1,600. During August, the following transactions occurred.

Aug. 1	Collected \$1,100 of accounts receivable due from customers.
4	Paid \$2,700 cash for accounts payable due.
9	Performed services worth \$5,400, of which \$3,600 is collected in cash and the balance is due in September.
15	Purchased additional office equipment for \$4,000, paying \$700 in cash and the balance on account.
19	Paid salaries \$1,400, rent for August \$700, and advertising expenses \$350.
24	Divided a cash dividend of \$200.
25	Received a cash dividend of \$100.
26	Borrowed \$5,000 from American Federal Bank; the money was borrowed on a 4-month note payable.
31	Incurred utility expenses for the month on account \$480.

Instructions

a. Prepare a tabular analysis of the August transactions beginning with July 31 balances. Because there is a beginning retained earnings amount, set up your tabular analysis similar to the one shown in **DO IT!** 2b. Include margin explanations for any changes in revenues or expenses.

a. Cash	\$7,150
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b. Prepare an income statement for August, a retained earnings statement for August, and a classified balance sheet at August 31.

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Ret. earnings	\$3.470
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Analyze transactions and compute net income



FIG. 3 (LO 2). AP Fredonia Repair Inc. was started on May 1. A summary of May transactions is presented below.

1. Stockholders invested \$10,000 cash in the business in exchange for common stock.
2. Purchased equipment for \$5,000 cash.
3. Paid \$400 cash for May office rent.
4. Paid \$300 cash for supplies.
5. Incurred \$250 of advertising costs in the Beacon News on account.
6. Performed repair services for customer for \$4,700 cash.
7. Paid a \$700 cash dividend.
8. Paid part-time employee salaries \$1,000.
9. Paid utility bills \$145.
(Check company bank account)
10. Performed repair services worth \$1,100 on account.
11. Collected cash of \$120 for services billed in transaction (10).

Instructions

a. Prepare a tabular analysis of the transactions using the following column headings: Cash, Accounts Receivable, Supplies, Equipment, Accounts Payable, Common Stock, and Retained Earnings (with separate columns for Revenues, Expenses, and Dividends). Include margin explanations for any changes in revenues or expenses. Revenue is called Service Revenue.

a. Total assets	823,560
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b. From an analysis of the Retained Earnings columns, compute the net income or net loss for May.

Net income	\$4,000
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Analyze transactions and prepare financial statements

P3-6 (LO 9). AP On August 31, 2027, the balance sheet of La Brava Veterinary Clinic showed Cash \$9,000, Accounts Receivable \$1,700, Supplies \$600, Equipment \$6,000, Accounts Payable \$3,600, Common Stock \$15,000, and Retained Earnings \$700. During September, the following transactions occurred.

1. Paid \$2,900 cash for accounts payable due.
2. Collected \$1,300 of accounts receivable.
3. Purchased additional equipment for \$2,100, paying \$800 in cash and the balance on account.
4. Performed services worth \$7,300, of which \$2,500 is collected in cash and the balance is due in October.
5. Paid a \$400 cash dividend.
6. Paid salaries \$1,700, rent for September \$900, and advertising expense \$200.
7. Incurred utilities expense for month on account \$270.

g. Received \$20,000 from Capital Bank on a 6-month note payable.

Instructions

a. Prepare a tabular analysis of the September transactions beginning with August 31 balances. Because there is a beginning retained earnings amount, set up your tabular analysis similar to the one shown in **DO IT! 2b**. Include margin explanations for any changes in revenues or expenses.

a. Beginning cash	\$12,000
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b. Prepare an income statement for September, a retained earnings statement for September, and a classified balance sheet at September 30.

b. Net income	\$4,320
Total assets	\$29,800

Analyze transactions and prepare financial statements.

P3-7 (LO 2), AP Nancy Tereek started a delivery service, Tereek Deliveries, on June 1, 2027. The following transactions occurred during the month of June.

June	1	Stockholders invested \$10,000 cash in the business in exchange for common stock.
	2	Purchased a used van for deliveries for \$14,000. Nancy paid \$2,000 cash and signed a 6-month note payable for the remaining balance.
	3	Paid \$500 for office rent for the month.
	5	Performed \$4,800 of services for customer on account.
	9	Declared and paid \$300 in cash dividends.
	12	Purchased supplies for \$150 on account.
	15	Received a cash payment of \$1,250 for services performed on June 5.
	17	Purchased gasoline for \$100 on account.
	20	Performed services for customer for \$1,300 cash.
	23	Made a cash payment of \$500 on the note payable.
	26	Paid \$250 for utilities.
	29	Paid for the gasoline purchased on account on June 17.
	30	Paid \$1,000 for employee salaries.

Instructions

a. Show the effects of the previous transactions on the accounting equation using the following format.

Assets					=	Liabilities		+	Stockholders' Equity			
Accounts						Notes			Retained Earnings			
Cash	+ Accounts Receivable	+ Supplies	+ Equipment	=	Notes Payable	+ Accounts Payable	=	Common Stock	+ Revenues	- Expenses	- Dividends	

Include margin explanations for any changes in revenues or expenses in your analysis.

- a. Total assets \$25,800
- b. Prepare an income statement and a retained earnings statement for the month of June.
- b. Net income \$4,450
- c. Prepare a classified balance sheet at June 30, 2027.
- c. Cash \$8,100

Expand Your Critical Thinking

Financial Reporting Problem: Apple Inc.

CT3-1 The financial statements of **Apple Inc.** in **Appendix A** contain the following selected accounts, all in thousands of dollars.

Common Stock	\$ 50,779
Accounts Payable	43,296
Accounts Receivable	16,120
Selling, General, and Administrative Expenses	10,016
Inventories	4,061
Net Property, Plant, and Equipment	36,766
Net Sales	274,543

Instructions

- a. Identify the probable other account in the transaction and the effect on that account when:
1. Accounts Receivable is decreased.
 2. Accounts Payable is decreased.
 3. Inventories is increased.
- b. Identify the other account(s) that ordinarily would be involved when:
1. Common Stock is increased.
 2. Property, Plant, and Equipment is increased.

Comparative Analysis Problem: Columbia Sportswear Company vs. Under Armour, Inc.

CT3-2 The financial statements of **Columbia Sportswear Company** are presented in **Appendix B**. Financial statements of **Under Armour, Inc.** are presented in **Appendix C**.

Instructions

Based on the information contained in these financial statements, identify the other account ordinarily involved when:

- a. Accounts Receivable is increased.
- b. Notes Payable is decreased.
- c. Equipment is increased.
- d. Prepaid Insurance is increased.

Interpreting Financial Statements

CT3-3 **Chieftain International, Inc.** is an oil and natural gas exploration and production company. A recent balance sheet reported \$202 million in assets with only \$4.6 million in liabilities, all of which were short-term accounts payable.

During the year, Chieftain expanded its holdings of oil and gas rights, drilled 37 new wells, and invested in expensive 3-D seismic technology. The company generated \$19 million cash from operating activities and paid no dividends. It had a cash balance of \$102 million at the end of the year.

Instructions

- a. Name at least two advantages to Chieftain from having no long-term debt. Can you think of disadvantages?
- b. What are some of the advantages to Chieftain from having this large a cash balance? What is a disadvantage?
- c. Why do you suppose Chieftain has the \$4.6 million balance in accounts payable, since it appears that it could have made all its purchases for cash?

Real-World Focus

CT3-4 This activity provides information about career opportunities for CPAs.

Instructions

Search the Internet for "Start here go places" to access free accounting resources for future CPAs and then answer the following questions.

- a. Where do CPAs work?
- b. What skills does a CPA need?

c. What is the salary range for a CPA at a large firm during the first three years? What is the salary range for chief financial officers at large corporations?

Instructions

Search online for "NFL Finances, as Seen Through Packers' Records," read the article, and then answer the following questions.

- Why are the Green Bay Packers the only professional football team to publish and distribute an annual report?
- Why is the football players' labor union particularly interested in the Packers' annual report?
- In addition to the players' labor union, what other outside party might be interested in the annual report?
- Even though the Packers' revenue increased in recent years, the company's operating profit fell significantly. How does the article explain this decline?

Ethics Case

CT3.6 The August 5, 2020, issue of the *Wall Street Journal* includes an article by Tomlin Geron entitled "Former Trustify CEO's Indictment Highlights Due Diligence Dilemma."

Instructions

Read the article and then answer the following questions.

- What is the crime the chief executive is accused of, and what were some of the fraudulent activities and statements intended to deceive investors?
- Many early state companies do not have audited financial statement or a chief financial officer. What risks does this present to investors?
- Despite the apparent lack of audited financial statements or other hard data, approximately 90 investors provided funds to the company. What explanation does the company give to explain why investors might be willing to provide funds despite the lack of hard data?

All About You

CT3.7 In their annual reports to stockholders, companies must report or disclose information about all liabilities, including potential liabilities related to environmental clean-up. There are many situations in which you will be asked to provide personal financial information about your assets, liabilities, revenues, and expenses. Sometimes you will face difficult decisions regarding what to disclose and how to disclose it.

Instructions

Suppose that you are putting together a loan application to purchase a home. Based on your income and assets, you qualify for the mortgage loan, but just barely. How would you address each of the following situations in reporting your financial position for the loan application? Provide responses for each of the following questions.

- You signed a guarantee for a bank loan that a friend took out for \$20,000. If your friend doesn't pay, you will have to pay. Your friend has made all of the payments so far, and it appears he will be able to pay in the future.
- You were involved in an auto accident in which you were at fault. There is the possibility that you may have to pay as much as \$50,000 as part of a settlement. The issue will not be resolved before the bank processes your mortgage request.
- The company at which you work isn't doing very well, and it has recently laid off employees. You are still employed, but it is quite possible that you will lose your job in the next few months.